AccountIQ

VALUATION SNAPSHOT

Output	High	Mid	Low
Enterprise value	$2,831,000	$2,314,000	$1,898,000
Less: net debt	$65,000	$65,000	$65,000
Indicative equity value	$2,766,000	$2,249,000	$1,833,000

Computed from the same valuation table used in the body of this report.

DEMO DATA - NOT FOR RELIANCE

Demo Indicative Valuation Report

AccountIQ Sample Limited

PREPARED FOR	AccountIQ Sample Limited	PREPARED BY	AccountIQ
REPORT TYPE	Demo Indicative Valuation Report	REFERENCE	Report #9001
VALUATION DATE	2026-07-04 09:30:00	PURPOSE	Understand what the business may be worth
BASIS OF VALUE	Indicative fair-market value, going-concern basis	RELIANCE	Demo data only - not for reliance.

REPORT NAVIGATION

Contents

BASIS OF PREPARATION

Basis of preparation

This front-matter explains how AccountIQ prepared the indicative valuation without asking the owner to complete a long expert questionnaire. The report separates uploaded financial information, owner-confirmed private facts, public research and AccountIQ valuation calculations so the reader can see what each conclusion relies on.

Scope item	Value
Valuation purpose	Understand what the business may be worth
Valuation date	2026-07-04 09:30:00
Basis of value	Indicative fair-market value of the operating business on a going-concern basis, before buyer-specific synergies or transaction structure.
Reliance limitation	First-draft indicative valuation support only; not financial advice and not a substitute for independent professional advice.
Information basis	Prepared from uploaded financial statements, the five owner-confirmed private facts, the earnings-adjustment review, public-source research and AccountIQ valuation calculations available at the valuation date.
Scope exclusions	Does not constitute an audit, assurance engagement, legal advice, tax advice, transaction fairness opinion or buyer-specific synergy assessment.

Owner answer trail

Owner answer	How it informs the report
Owner answer - Valuation purpose	Understand what the business may be worth. Frames the report scope, reliance wording and how the valuation conclusion is positioned.
Owner answer - Owner dependency	Responsibility is shared across the owner and team. Informs transition risk, buyer reliance on the owner and specific-risk commentary.
Owner answer - Largest-customer concentration	10% to 25%. Informs revenue-retention risk, diligence focus and concentration commentary.
Owner answer - Revenue predictability	A mix of recurring and one-off revenue. Informs cash-flow reliability, contract-security commentary and forecast support.
Owner answer - Revenue outlook	Not sure - growth derived from uploaded financial history. Informs the short-term growth assumption or, when the owner is unsure, the decision to derive growth from uploaded financial history.

BASIS OF PREPARATION

Evidence and model basis

Input area	How it is used in the report
Uploaded financial statements	Used for historical revenue, profitability, balance sheet items, working capital, candidate normalisations and financial ratio analysis.
Five owner-confirmed private facts	Used for purpose, owner dependency, customer concentration, revenue predictability and the realistic 12-24 month revenue outlook.
Earnings-adjustment review	Used to confirm genuine one-off, owner-specific or non-operating items before they appear in the normalisation schedule; recurring operating costs are intentionally left in the earnings base.
Optional public-source hints	Used only to match the correct business and guide research. They are not required from the owner and are treated as source hints until corroborated.
Simulated public research	Used for company and sector context, comparable evidence, RBNZ risk-free-rate context, Damodaran discount-rate inputs and inflation assumptions; URLs are retained in the sources section.
AccountIQ valuation model	AccountIQ calculates the DCF valuation, discount-rate scenarios, multiples cross-check, enterprise-to-equity bridge, sensitivity matrix and forecast cash-flow schedule before the narrative is written.
Questions intentionally not asked	The owner is not asked to choose the discount rate, terminal growth or forecast horizon in the standard flow; these technical assumptions are derived and disclosed in the report.

ACCOUNTIQ INDICATIVE VALUATION

01 Introduction

Client and report purpose

This demo indicative valuation has been prepared for AccountIQ Sample Limited to show how AccountIQ can provide the owner with an informed view of the fair market value of 100% of the operating business. The sample purpose is to understand what the business may be worth before any sale, finance or shareholder discussion.

Valuation date and basis of value

The valuation is expressed as at the prepared date shown on the cover page. Value is considered on a going-concern fair-market basis for the operating business, before buyer-specific synergies, transaction structure, warranties or completion adjustments.

Sources of information

The report draws on uploaded financial information, owner-confirmed private facts, sample public-source research and AccountIQ valuation calculations. In a live report, public source URLs are retained in the sources section so a reader can inspect the evidence trail behind the valuation assumptions.

Liability, confidentiality and compliance

This report is indicative only and is prepared for the stated purpose. It is not an independent business valuation report, does not constitute financial advice and should not be relied on as a substitute for independent professional advice. Demo figures and simulated research are included only to demonstrate the AccountIQ report experience.

ACCOUNTIQ INDICATIVE VALUATION

02 Executive Summary

The primary discounted cash flow analysis indicates an enterprise value range of $1.90 million to $2.83 million after the private-company illiquidity adjustment, with a midpoint of $2.31 million. The result is most sensitive to maintainable EBITDA, customer retention and the selected cost of capital.

Valuation conclusion at a glance

Conclusion	Value	Reader takeaway
Enterprise value range	**$1,898,000 - $2,831,000**	Primary DCF valuation range after the private-company illiquidity adjustment.
Midpoint enterprise value	**$2,314,000**	Central indication before the net debt and surplus asset bridge.
Midpoint equity value	**$2,249,000**	Central shareholder-value indication after the enterprise-to-equity bridge.
Net debt adjustment	**$65,000**	Bridge item applied consistently across the valuation scenarios.

Indicative valuation	High	Mid	Low
Enterprise value	$2,831,000	$2,314,000	$1,898,000
Less: net debt	$65,000	$65,000	$65,000
Indicative equity value	$2,766,000	$2,249,000	$1,833,000

ACCOUNTIQ INDICATIVE VALUATION

03 Overview

The sample company provides recurring business services to New Zealand SMEs. Public-source research indicates a stable market position supported by repeat customers, while management has confirmed that responsibility is shared across the operating team.

ACCOUNTIQ INDICATIVE VALUATION

04 Market Position

The relevant New Zealand services market remains fragmented. Competitive advantage depends on customer retention, delivery quality and trusted relationships. Public market evidence was cross-checked against the company's private operating context.

ACCOUNTIQ INDICATIVE VALUATION

05 About Business Valuations

What the valuation represents

A business valuation estimates what a willing, informed buyer might pay and a willing, informed seller might accept in an arm's-length transaction at the valuation date. It is not the same as a guaranteed sale price. It assumes a going-concern operating business and focuses on maintainable earnings rather than a one-off result. The final consideration may also reflect buyer synergies, deal structure, warranties, working-capital adjustments and market conditions.

Enterprise value and equity value

Enterprise value is the value of the operating business before its financing position. Equity value is derived by deducting interest-bearing debt and adding available cash and separately identified surplus assets. This report therefore presents both measures.

Why a range is used

Private-company value is sensitive to forecasts, customer retention and the return required by a buyer. High, midpoint and low cases communicate that uncertainty more honestly than a single point estimate.

ACCOUNTIQ INDICATIVE VALUATION

06 Valuation Methodology Adopted

Primary method - discounted cash flow

Discounted cash flow is the primary method because it directly reflects the company's maintainable future cash-generating capacity. Expected free cash flows are forecast over five years and discounted to present value using a private-company cost of capital.

Independent cross-check - market multiples

Researched EV/EBITDA evidence provides an independent reasonableness cross-check. It is not used mechanically because disclosed transactions differ in scale, growth, customer mix, contract security and strategic value.

ACCOUNTIQ INDICATIVE VALUATION

07 Financial Performance

Revenue and EBITDA have grown over the observed period, with a moderation in the forecast year reflecting a sustainable rather than aspirational earnings base. FY25 reported EBITDA of $240,000 is adjusted separately in the normalisation schedule.

Year ending March	FY23 Actual	FY24 Actual	FY25 Actual	FY26 Forecast
Revenue	$980,000	$1,110,000	$1,250,000	$1,350,000
Gross profit	$588,000	$682,600	$787,500	$850,500
EBITDA	$165,000	$205,000	$240,000	$259,000
Net profit after tax	$105,000	$128,000	$150,000	$163,000
EBITDA margin	16.8%	18.5%	19.2%	19.2%

ACCOUNTIQ INDICATIVE VALUATION

08 Historical Ratio Analysis

Historical ratios show improving scale and operating leverage. The forecast deliberately holds EBITDA margin broadly flat rather than assuming that the recent expansion continues indefinitely.

Ratio	FY23 Actual	FY24 Actual	FY25 Actual	FY26 Forecast
Revenue growth	Not available	13.3%	12.6%	8.0%
Gross margin	60.0%	61.5%	63.0%	63.0%
EBITDA margin	16.8%	18.5%	19.2%	19.2%
Net profit margin	10.7%	11.5%	12.0%	12.1%

ACCOUNTIQ INDICATIVE VALUATION

09 Normalisations

Normalisations isolate maintainable operating earnings from owner-specific and one-off expenditure.

Adjustment	Amount	Rationale
Owner remuneration above market	$35,000	Replace with an arm's-length management cost
One-off legal costs	$12,000	Non-recurring transaction expenditure
Normalised FY25 EBITDA	$287,000	Reported EBITDA plus confirmed adjustments

ACCOUNTIQ INDICATIVE VALUATION

10 Balance Sheet Summary

The enterprise-to-equity bridge deducts interest-bearing debt and adds available cash or separately identified surplus assets.

Balance sheet item	Value
Cash and bank	$95,000
Interest-bearing debt	$160,000
Net debt	$65,000
Operating fixed assets	$185,000
Surplus assets	$0
Midpoint enterprise value	$2,314,000
Less: net debt	($65,000)
Midpoint equity value	$2,249,000

ACCOUNTIQ INDICATIVE VALUATION

11 Valuation Approach and Assumptions

Earnings and forecast period

The model uses normalised FY25 EBITDA of $287,000 and a five-year explicit forecast period. Revenue and maintainable earnings grow at 8.0% a year, consistent with the owner's modest-growth outlook but below the most recent historical growth rate.

Long-term and reinvestment assumptions

A 2.5% terminal growth rate is anchored to long-run New Zealand inflation and remains below every WACC scenario. The model applies the 28% New Zealand corporate tax rate. Base depreciation of $25,000 is assumed to equal maintenance capital expenditure. Operating working capital is modelled at 5.0% of revenue, so growth requires a corresponding incremental cash investment.

Ownership and customer context

Management has indicated that operational responsibility is shared, no single customer represents more than 20% of revenue, and income is a mix of recurring and project work.

Assumption / input	Value used	Primary source	Why it matters
Normalised EBITDA	$287,000	Uploaded financial statements plus owner-confirmed normalisations	Sets the maintainable earnings base for DCF and multiples cross-checks.
Explicit forecast period	5 years	AccountIQ valuation model convention	Defines the period over which cash flows are forecast before terminal value.
Revenue and earnings growth	8.0%	Owner outlook: modest growth	Drives the forecast cash-flow build and sensitivity matrix.
Terminal growth	2.5%	Public research: New Zealand inflation input	Anchors long-term growth and must remain below the discount rate.
WACC scenarios: high / mid / low valuation	9.9% / 11.5% / 13.4%	Public research: RBNZ risk-free rate and Damodaran ERP/beta	Discounts forecast cash flows and creates the valuation range.
Maintenance capital expenditure	$25,000	Uploaded financial statements: depreciation proxy	Converts EBITDA into free cash flow by allowing for asset reinvestment.
Operating working capital ratio	5.0%	Uploaded balance sheet: operating working-capital line items	Captures the cash investment required to support revenue growth.
Debt, cash and surplus assets	Debt $160,000; cash $95,000; surplus assets $0	Uploaded balance sheet plus optional owner override	Bridges enterprise value to indicative equity value.
Owner dependency	Responsibility is shared across the owner and team	Owner-confirmed private fact	Informs specific risk commentary and buyer diligence focus.
Largest-customer concentration	10% to 25%	Owner-confirmed private fact	Highlights concentration risk that is not usually visible online.
Revenue predictability	A mix of recurring and one-off revenue	Owner-confirmed private fact	Distinguishes contracted revenue from transactional or project income.
Revenue outlook	Modest growth	Owner-confirmed private fact	Documents the short-term outlook used to support or derive the growth assumption.

ACCOUNTIQ INDICATIVE VALUATION

12 Weighted Average Cost of Capital

The cost of capital was developed from current public data and adjusted for the risk and illiquidity of a privately held New Zealand SME. The high valuation uses the lowest WACC; the low valuation uses the highest WACC.

Component	High valuation	Mid valuation	Low valuation
Risk-free rate	4.4%	4.4%	4.4%
Equity risk premium	5.6%	5.9%	6.2%
Industry total beta	1.05	1.20	1.35
WACC	9.9%	11.5%	13.4%
Illiquidity discount	11.8%	11.8%	11.8%

ACCOUNTIQ INDICATIVE VALUATION

13 Discounted Cash Flow Analysis

Forecast free cash flows are discounted at the three WACC scenarios. Terminal value uses the Gordon growth model and the 2.5% terminal growth rate remains below every discount-rate scenario. FCFF is EBIT after tax plus depreciation, less maintenance capital expenditure and change in operating working capital. The private-company illiquidity adjustment is shown explicitly rather than embedded in an opaque final multiple.

DCF item	High valuation	Mid valuation	Low valuation
WACC	9.9%	11.5%	13.4%
Terminal growth	2.5%	2.5%	2.5%
Base revenue	$1,250,000	$1,250,000	$1,250,000
Normalised EBITDA	$287,000	$287,000	$287,000
Base depreciation	$25,000	$25,000	$25,000
Maintenance capex	$25,000	$25,000	$25,000
Operating working capital / revenue	5.0%	5.0%	5.0%
Enterprise value before illiquidity	$3,209,000	$2,624,000	$2,152,000
Illiquidity discount	11.8%	11.8%	11.8%
Adjusted enterprise value	$2,831,000	$2,314,000	$1,898,000

Mid-case forecast cash-flow schedule

Mid-case forecast	Year 1	Year 2	Year 3	Year 4	Year 5
Revenue	$1,350,000	$1,458,000	$1,574,640	$1,700,611	$1,836,660
EBITDA	$309,960	$334,757	$361,537	$390,460	$421,697
EBIT	$282,960	$305,597	$330,045	$356,448	$384,964
Tax	$79,229	$85,567	$92,412	$99,805	$107,790
Maintenance capex	$27,000	$29,160	$31,493	$34,012	$36,733
Change in operating working capital	$5,000	$5,400	$5,832	$6,299	$6,802
Free cash flow to firm	$198,731	$214,630	$231,800	$250,344	$270,372
Discounted free cash flow	$178,234	$172,639	$167,220	$161,971	$156,887

ACCOUNTIQ INDICATIVE VALUATION

14 Indicative Valuation Summary

The low DCF case overlaps the upper end of the market cross-check, while the midpoint DCF conclusion is higher at $2.31 million. This difference is driven by the assumed cash-flow growth and should be considered explicitly rather than averaged away. The DCF remains the primary conclusion and the multiple range is an independent check.

Method / scenario	Input	Enterprise value	Adjusted EV	Equity value
DCF - high valuation	9.9% WACC	$3,209,000	$2,831,000	$2,766,000
DCF - midpoint	11.5% WACC	$2,624,000	$2,314,000	$2,249,000
DCF - low valuation	13.4% WACC	$2,152,000	$1,898,000	$1,833,000
Multiples - low	5.0x EBITDA	$1,435,000	$1,435,000	$1,370,000
Multiples - midpoint	6.0x EBITDA	$1,722,000	$1,722,000	$1,657,000
Multiples - high	7.0x EBITDA	$2,009,000	$2,009,000	$1,944,000

ACCOUNTIQ INDICATIVE VALUATION

15 Multiples Cross-check

Public benchmark evidence supports an indicative range of 5.0x to 7.0x normalised EBITDA. The DCF midpoint falls close to the 6.0x market cross-check. The range is not a direct pricing promise because observed businesses differ in scale, growth, customer mix, contract security and strategic value.

Input	Low	Mid	High
EV/EBITDA multiple	5.0x	6.0x	7.0x
Normalised EBITDA	$287,000	$287,000	$287,000
Indicated enterprise value	$1,435,000	$1,722,000	$2,009,000

ACCOUNTIQ INDICATIVE VALUATION

16 Sensitivity and Specific Risks

Quantified sensitivity

The 8.0% growth and 11.5% WACC midpoint is the base case. Across the matrix, adjusted enterprise value ranges from $1.77 million at 6.0% growth and 13.4% WACC to $3.05 million at 10.0% growth and 9.9% WACC.

Business-specific matters

- Customer retention: although no single customer exceeds 20% of revenue, the aggregate retention of repeat customers remains important.
- Revenue quality: mixed recurring and project income provides diversity but less certainty than fully contracted revenue.
- Transition: shared management reduces key-person exposure, subject to confirming retention and handover arrangements.
- Pipeline: unsigned opportunities have not been treated as contracted revenue.

The matrix quantifies WACC and growth only. The business-specific matters remain unquantified and should be revisited if circumstances change before a transaction.

Growth assumption	High valuation / 9.9% WACC	Mid valuation / 11.5% WACC	Low valuation / 13.4% WACC
6.0%	$2,621,000	$2,147,000	$1,765,000
8.0% - base	$2,831,000	$2,314,000	$1,898,000
10.0%	$3,054,000	$2,492,000	$2,040,000

Specific risk factors

Specific risk factor	Owner input	Valuation relevance	Report treatment
Owner dependency / transition	Responsibility is shared across the owner and team	Affects buyer confidence in post-transaction continuity.	Moderate transition risk; diligence should confirm responsibilities and handover depth.
Customer concentration	10% to 25%	Large customer exposure can increase earnings volatility and diligence risk.	Moderate concentration risk; review top-customer retention and contract terms.
Revenue predictability	A mix of recurring and one-off revenue	Contracted or recurring revenue usually supports more reliable cash-flow forecasts.	Mixed recurring and project revenue creates moderate earnings visibility.
Revenue outlook and pipeline	Modest growth	Growth expectations affect forecast cash flows and sensitivity cases.	Modest growth supports the base forecast, subject to delivery and customer retention.
Other private context	A key contract renews next year.	Captures risks or opportunities not normally visible in public research.	Owner-supplied context should be confirmed and reflected in diligence, warranties or forecast cases.

ACCOUNTIQ INDICATIVE VALUATION

17 Comparable Evidence Appendix

The evidence below is illustrative public-market and benchmark context for the sample report. It is broad-sector evidence rather than a set of directly comparable private transactions, so the observed range is used only as a reasonableness check.

Evidence	Date	Metric / multiple	Relevance and limitation	Source
Business services sector dataset	Current dataset	EV/EBITDA benchmark	Broad listed-company evidence; larger and more liquid than the subject	Damodaran Online - https://pages.stern.nyu.edu/~adamodar/New_Home_Page/data.html
NZ private-company valuation context	Valuation date	Risk-free and inflation inputs	Supports discount-rate inputs, not a transaction multiple	Reserve Bank of New Zealand - https://www.rbnz.govt.nz/statistics/series/exchange-and-interest-rates
Subject company public profile	Valuation date	Operating and market context	Company-supplied public claims require corroboration	NZ Companies Office - https://companies-register.companiesoffice.govt.nz/

ACCOUNTIQ INDICATIVE VALUATION

18 Sources and References

The following public sources support the sample report's market, WACC, inflation and public-profile context. In a live report, each source is retained so the reader can review the evidence trail behind the valuation assumptions.

Source	URL	Supports / used for
Reserve Bank of New Zealand, interest rates	https://www.rbnz.govt.nz/statistics/series/exchange-and-interest-rates	Risk-free-rate and discount-rate context
Reserve Bank of New Zealand, inflation	https://www.rbnz.govt.nz/monetary-policy/about-monetary-policy/inflation	Long-term inflation and terminal-growth context
Damodaran Online, data resources	https://pages.stern.nyu.edu/~adamodar/New_Home_Page/data.html	Equity risk premium, beta and private-company valuation inputs
NZ Companies Office	https://companies-register.companiesoffice.govt.nz/	Company public-profile corroboration

ACCOUNTIQ INDICATIVE VALUATION

19 Disclaimer

Indicative purpose and reliance

This report is indicative only and has been prepared solely for the stated valuation purpose. It does not constitute financial advice and should not be relied upon as a substitute for independent professional, legal, tax or accounting advice. No responsibility is accepted to any third party who obtains or relies on this report.

Information and valuation date

The analysis relies on information supplied by the owner, extracted financial records and identified public sources. Those inputs have not been independently audited. Conclusions may change if information is incomplete, inaccurate or circumstances change after the valuation date.

Regulatory context

The report is prepared with regard to the Financial Markets Conduct Act (FMCA) context but is not a regulated product-disclosure statement, fairness opinion or assurance engagement.

ACCOUNTIQ INDICATIVE VALUATION

20 General Principles

Basis of value

- A willing but not anxious buyer and a willing but not anxious seller.
- An arm's-length transaction after proper marketing.
- Both parties act knowledgeably, prudently and without compulsion.
- The business continues as a going concern with assets used in their current operations.

Timing and information

- Value is assessed at the stated valuation date and may change as markets, trading or capital costs change.
- Forecasts are estimates, not guarantees, and depend on stated assumptions.
- Buyer-specific synergies and unusual strategic premiums are excluded unless explicitly stated.

ACCOUNTIQ INDICATIVE VALUATION

21 Glossary

Core valuation terms

- DCF: Discounted cash flow, a method that converts forecast future cash flows to present value.
- Enterprise value: Value of the operating business before debt and available cash.
- Equity value: Enterprise value less debt, plus available cash and identified surplus assets.
- EBITDA: Earnings before interest, tax, depreciation and amortisation.
- Maintainable earnings: Earnings adjusted to reflect sustainable, arm's-length operations.
- Normalisation: An adjustment for owner-specific, non-recurring or non-operating items.
- Terminal value: Value attributed to cash flows beyond the explicit forecast period.
- WACC: Weighted average cost of capital used to discount future cash flows.
- Illiquidity discount: Adjustment reflecting the limited marketability of a private-company interest.
- FMCA: New Zealand's Financial Markets Conduct Act 2013.